

1) Which of the following statements is correct?

- I. Producer behaviour is studied by microeconomists, whereas unemployment and inflation are studied by macroeconomists.
 - II. According to "Real Business Cycle" economists, the government should intervene to promote economic growth.
 - III. The three major functions of the state are: allocation, taxation, and stabilization.
 - IV. According to Keynesians, the government should intervene in the market to prevent recessions and periods of excessive economic expansion.
- a) Only I, III and IV (0%)
 b) None (0%)
c) Only I and IV (100%)
 d) Only II (0%)

2) Which of the following statements is correct?

- a) The redistribution function of the government is entirely based on positive (not normative) criteria. (0%)
 b) The only role of the government is to ensure internal and external security (policy and military, respectively), as well as ensuring justice by applying existing laws. (0%)
 c) The government provides goods and services to society because even if the initial allocation of resources is optimal, it is never equitable. (0%)
d) When using its stabilization function, the government can sometimes aim at slowing down economic activity. (100%)

3) Consider an economy with three production sectors: Paper, Electronic goods, and Services, for which you have only the following information:

Sector	Paper	Electronic goods	Services
Intermediate Purchases	0	15 from Paper	5 from Paper 15 from Electronic goods
Wages	5	10	10
Value of Production	20	35	60

The statement that can be inferred from the table above, is:

- a) The value-added of the Electronic goods sector is 10. (0%)
b) GDP calculated as the sum of final output is equal to 80. (100%)
 c) The sum of value-added is equal to 115. (0%)
 d) GDP calculated as the sum of factor income is equal to 60. (0%)

- 4) Nominal GDP (USD billions) of El Dorado is 40 in 2049 and 50 in 2050. Real GDP equals 80 in 2049 and 100 in 2050. Which of the following statements is correct?
- a) **The GDP deflator is smaller than 100 in 2049. (100%)**
 - b) There is positive inflation between 2049 and 2050. (0%)
 - c) Real growth is zero between 2049 and 2050. (0%)
 - d) The base year for the calculation of real GDP is necessarily before 2050. (0%)
- 5) The growth rate of real GDP per capita in the countries of Genovia and Zubrowka is 1.5% and 3.5%, respectively. Genovia's real GDP per capita equals USD 830; Zubrowka's real GDP per capita equals USD 1660. How many years would it take Genovia to catch up with Zubrowka?
- a) **None of these options. (100%)**
 - b) 50 (0%)
 - c) 150 (0%)
 - d) 35 (0%)
- 6) An annual study examines the consumption expenditures of UNIGE students. The table below gives information regarding the consumption basket of a representative university student as well as the price of goods in 2000 and 2020.

Goods	Units consumed in 2000	Price in 2000	Units consumed in 2020	Price in 2020
Sandwiches	100	5	110	10
Textbooks	20	20	15	30
Movie tickets	10	10	4	20

Considering 2000 as the base year, which of the following statements is correct?

- a) The loss of purchase power of the UNIGE students between 2000 and 2020 is lower than that of the average consumer. (0%)
 - b) UNIGE students' CPI (USCPI) in 2020 is equal to 1630. (0%)
 - c) **UNIGE students' consumer price index (USCPI) in 2020 is equal to 180. (100%)**
 - d) The increase in the cost of living for UNIGE students between 2000 and 2020 is equal to 40%. (0%)
- 7) In 2015 the number of unemployed workers was 200, and the number of employed workers was 800. In 2023, the number of unemployed workers is 500, and the number of employed workers is 2000. Between 2015 and 2023, which of the following phenomena happened?
- a) **The unemployment rate was unchanged, while the labour force increased. (100%)**
 - b) The unemployment rate fell, while the labour force increased. (0%)
 - c) The labour force increased by 150%, while the unemployment rate more than doubled. (0%)
 - d) Nothing can be said about the evolution of the unemployment rate because we do not know about the change in the labour force. (0%)

- 8) Which of the following scenarios best illustrates a case of cyclical unemployment?
- a) A large company automates its manufacturing process, leading to the layoff of a massif number of assembly line workers. (0%)
 - b) An increase in the minimum wage leads to some businesses reducing their workforce to cut costs. (0%)
 - c) A new technology makes a specific type of skill obsolete, resulting in long-term unemployment for workers with that skill. (0%)
 - d) During a recession, a significant number of retail employees are laid off due to a reduction in consumer spending. (100%)**

- 9) An aggregate production function with constant returns to scale and decreasing marginal returns is given by: $Y = A F(K, L, H, N)$ - where K is physical capital, L is labour, H is human capital and N is natural resources.

If both A and N double, which of the following is always correct?

- a) The marginal productivity of capital doubles. (0%)
 - b) Aggregate output Y more than doubles. (100%)**
 - c) Aggregate output Y doubles. (0%)
 - d) The productivity of labour Y/L doubles. (0%)
- 10) The production function is of the form: $Y(L) = 50L + L^2$, where L is labour inputs.
- The labour supply function is given by $L^S = w$, where w is the real wage. The labour force is 25.
- Which of the following statements is correct?
- a) One employee earns less than its reservation wage. (0%)
 - b) The unemployment rate is 25%. (0%)
 - c) The inactive population is higher than the employed population. (0%)
 - d) A minimum wage of 8 would have no consequence in this set up. (100%)**
- 11) Which of the following policies of the central bank will always lead to an increase in money supply?
- a) Increasing the refinancing rate. (0%)
 - b) Buying bonds and increasing the reserve requirement. (0%)
 - c) Decreasing the refinancing rate and decreasing the reserve requirement. (100%)**
 - d) Selling bonds. (0%)
- 12) Which of the following phenomena will lead to an increase in interest rates on the market for loanable funds?
- a) A change in taxes which encourages private savings. (0%)
 - b) An increase in the government's budgetary deficit. (100%)**
 - c) A decrease in general prices. (0%)
 - d) The elimination of an investment subsidy, which is accompanied by policies that encourage savings. (0%)

- 13) How would you describe the economic phenomenon of "crowding out"?
- a) When the government increases taxes on investment, which will lead to a decline in private investment. (0%)
 - b) When the government borrows to finance its budget deficit, which reduces the amount of loanable funds available to finance private investment. (100%)**
 - c) When the government reduces taxes on revenue with the aim of increasing consumption expenditures, but consumers increase their saving instead. (0%)
 - d) When the number of mutual funds increases, the economic activity by private banks as financial intermediaries falls. (0%)

- 14) Which of the following statements is correct?

If the government decreases its budget deficit:

- a) Net exports increase and there is a real depreciation. (100%)**
 - b) Net exports decrease and there is a real depreciation. (0%)
 - c) Net exports decrease and there is a real appreciation. (0%)
 - d) Net exports increase and there is a real appreciation. (0%)
- 15) Suppose the money supply is 500 CHF, real output is 1,000 units, and the price per unit of output is 1 CHF. What is the value of velocity of money?
- a) 0.2 (0%)
 - b) 2 (100%)**
 - c) 0.5 (0%)
 - d) 5 (0%)
- 16) According to the quantity theory of money, which of the following best describes what determines the rate of inflation in the long run?
- a) The rate of growth of the money supply. (100%)**
 - b) The rate of growth of real GDP per capita. (0%)
 - c) The rate of change of the velocity of money. (0%)
 - d) The rate of growth of real GNP. (0%)

- 17) According to Milton Friedman *"Inflation is always and everywhere a monetary phenomenon."*

This paradigm refers to the fact that:

- a) In the long run money is neutral and it exists a dichotomy between real and nominal macro variables. (100%)**
- b) The Central Bank can influence the real economy only in the long run. (0%)
- c) Monetary policy is an efficient stabilization policy instrument because its effects last in the long run. (0%)
- d) In the long run nominal variables equal real variables. (0%)

- 18) Answer: Which of the following statements about the financial account is true?
- a) **None of the other answers is correct. (100%)**
 - b) Imports enter as a debit in the financial account. (0%)
 - c) Net factor income from abroad enters as a debit in the financial account. (0%)
 - d) Exports enter as a debit in the financial account. (0%)
- 19) Other things being equal, which of the following will occur in the balance of payments if a country begins to export more than it imports?
- a) Nothing will change in the current account since to an outflow will always correspond an inflow of the same magnitude in the same account. (0%)
 - b) Net capital outflows will decrease. (0%)
 - c) **If it was at equilibrium to start with, the current account will move to a surplus. (100%)**
 - d) The financial account will improve. (0%)
- 20) Suppose the Euro appreciated during the summer of 2024. What did this mean for US tourists going to Paris for the Olympics?
- a) **US tourists needed more US dollars to buy Euros. (100%)**
 - b) US tourists' demand for French souvenirs and gadgets increased. (0%)
 - c) French goods became relatively cheaper to US tourists. (0%)
 - d) US tourists face an increase in French prices in Euros. (0%)
- 21) If the nominal exchange rate is 5 Croatian Kuna to 1 US dollar, and prices in Croatia expressed in Croatian Kuna are 50% lower than those in the US expressed in US dollars, the real exchange rate is:
- a) 2.5 (0%)
 - b) 5 (0%)
 - c) 25 (0%)
 - d) **10 (100%)**
- 22) Assume the nominal exchange rate is determined by Purchasing Power Parity (PPP). Which of the following is correct?
- a) Inflation at home leads to an appreciation of the domestic currency in nominal terms. (0%)
 - b) Inflation at home leads to a depreciation of the domestic currency in real terms. (0%)
 - c) **Inflation at home leads to a depreciation of the domestic currency in nominal terms. (100%)**
 - d) Inflation at home leads to an appreciation of the domestic currency in real terms. (0%)
- 23) Which of the following is the most likely response to a decrease in the Vietnamese real interest rate?
- a) A foreign mutual fund decides to increase its deposits at a Vietnamese bank. (0%)
 - b) A foreign company decides to acquire part of a Vietnamese factory operating in the same production sector. (0%)
 - c) **A Vietnamese company decides to expand its factory. (100%)**
 - d) A Vietnamese citizen decides to purchase fewer foreign bonds. (0%)

- 24) Which of the following events shifts the short-run aggregate supply curve to the right?
- a) an increase in government spending on social welfare. (0%)
 - b) an increase in price expectations. (0%)
 - c) a decrease in human capital. (0%)
 - d) a drop in oil prices. (100%)**
- 25) Consider an economy that is initially in long-run equilibrium. Suppose there is a sudden and significant increase in consumer confidence. According to the AD-AS model, which of the following statements correctly describes the short-term and long-term effects on production and prices of this shock?
- a) In the short-term aggregate demand shifts right generating an increase in output and price level. To avoid inflation, the central bank implements a restrictive monetary policy, which makes the aggregate demand move back to its initial position. In the long term, production and prices return to their initial levels. (0%)
 - b) In the short-term aggregate demand shifts right generating an increase in output and price level. Producers expect an increase in production costs and the short-term aggregate supply shifts left. In the long term, production returns to its initial level and prices remain high. (100%)**
 - c) In the short-term both aggregate demand and aggregate supply shift right generating an increase in output. The effect on price level being ambiguous, the long-term aggregate supply shifts right to join the new output level. In the long term, production remains high and prices stay constant. (0%)
 - d) In the short-term aggregate supply shifts right generating an increase in output and a reduction in price level. Producers expect an increase in production costs and the short-term aggregate supply shifts back to its initial position. In the long term, production and prices return to their initial levels. (0%)
- 26) If government purchases of goods and services increase by \$10 billion when the MPC is 0.8 and the MPI is 0.3, then:
- a) real GDP will increase by \$16 billion. (0%)
 - b) real GDP will increase by \$40 billion. (0%)
 - c) real GDP will increase by \$20 billion. (100%)**
 - d) real GDP will increase by \$50 billion. (0%)
- 27) Which of the following is an example of an automatic stabilizer?
- a) Decreasing the supply of money. (0%)
 - b) Decreasing government spending on national highways. (0%)
 - c) Paying unemployment insurance benefits. (100%)**
 - d) Paying pensions to retired civil servants. (0%)
- 28) According to Keynesian economics, when a country faces an unemployment problem, an effective fiscal policy might be to:
- a) reduce interest rates. (0%)
 - b) reduce market prices. (0%)
 - c) increase the money supply. (0%)
 - d) increase government purchases. (100%)**

- 29) Stagflation is defined as the “double trouble” of higher inflation combined with:
- a) lower demand. (0%)
 - b) higher unemployment. (100%)**
 - c) lower corporate profits. (0%)
 - d) higher money supply. (0%)
- 30) The fact that the long-run Phillips Curve is vertical indicates:
- a) that in the long-run, there is no tradeoff between inflation and unemployment. (100%)**
 - b) that in the long-run, prices are stable. (0%)
 - c) that in the long-run, the economy returns to a given level of inflation. (0%)
 - d) that in the long-run, there is no tradeoff between inflation and the price level. (0%)